



VSEUS Weekly Economics Gazette Newsletter

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Date: August 22, Friday

Hello!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

Send us feedback to finance@vseus.ca!

Market Overview:

Over the past week, there was less trade **volume**¹, which magnifies the effect of large-volume transactions on prices. As a consequence, tech sectors received a **market pullback**² as the market cools. Investors remain alert to possible interest rate cuts in September.

¹ Volume: Is the total number of shares or contracts traded daily.

² Market Pullback: It refers to a decline in the overall market price that can be interpreted as a temporary market correction.



Article 1: Air Canada Flight Attendants to End Strike

Author, Source & Date Published: Gareth Vipers & Paul Vieira, WSJ, August 19, 2025

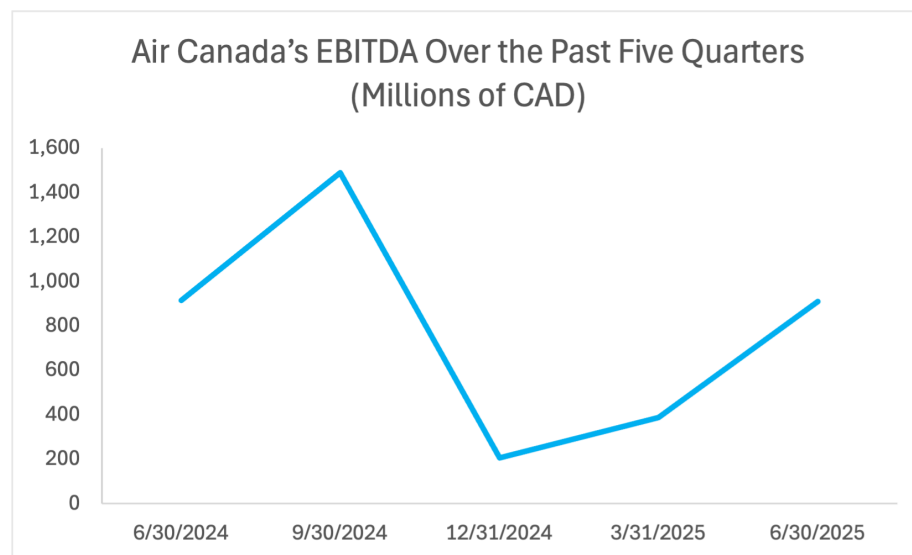
Link: [Reference](#)

Summary:

A deal was reached to stop Air Canada's 10,500 flight attendants strike that affected half a million workers.

Key Takeaways:

- The deal was reached under legal resistance, as the union pledged to ignore an order issued by **Canada's Industrial Relations Board**³ to resume operations on Monday. Canada's labour code permits the government to impose back-to-work orders to protect essential/federal industries.
- Workers are set to return to work on Tuesday, but operations are expected to return to normal only after a week. Furthermore, the specific agreement details are not publicly disclosed, but prior to the final agreement Air Canada offered a 40% compensation increase during a 4-year period. This will make Air Canada's flight attendants one of the best paid in the country.



Source: Yahoo Finance, Air Canada (AC.TO) Key Statistics, [link](#).

³ Canada's Industrial Relations Board: It is an independent tribunal that dictates over workers unions in federal industries like railroad, banking, telecommunications, etc.



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- This job strike is directly tied to past inflation that eroded flight attendants' **real wages**⁴. Over the past few years, inflation and housing costs have increased significantly in Vancouver and Toronto, the main hubs of Air Canada. Consequently, workers united through a union to increase their bargaining power in negotiations with corporate management. By uniting they can disrupt operations and affect the company, considering the opportunity cost of the time loss. The **opportunity cost**⁵ of the workers' strike is the revenue that the company couldn't gain during that lost time.
- Air Canada indicated in their yearly guidance, an expected \$3.2-\$3.6 billion in **EBITDA**⁶. However, Air Canada decided to drop this guidance as higher wages increase its operational cost.

Educational Angle:

In the past, the Canadian Government avoided using the back-to-work mandate. On the contrary, recent administrations have repeatedly used it to contain workers' strikes. Students should question how efficient these orders are (considering Air Canada workers were going to ignore the CIRB mandate), and how it undermines the right to strike in the Canadian Charter of rights and freedoms. At the end of the day, Unions have a function and it is to balance the negotiation field between workers and employers.

⁴ Real wage: A measure of the purchasing power of income. It shows how many goods and services a worker can actually buy with their wage, after accounting for inflation. What matters is not the dollar amount (nominal wage), but the real goods and services that income can purchase. For example, earning \$20 doesn't mean much if an apple costs \$20. You can only afford very little when inflation is very high.

⁵ Opportunity cost: (What you gained)/(what you lost).

⁶ EBITDA (Earnings Before Interest, Taxes, Depreciation, and Amortization): It considers what is the revenue gained after only operational costs are covered. It doesn't consider taxes, non-cash costs, and the financial structure of the entity (cost of finance).



Article 2: China Turns to Australian Canola as Ties With Canada Sour

Author, Source & Date Published: Hallie Gu, Bloomberg, August 18, 2025

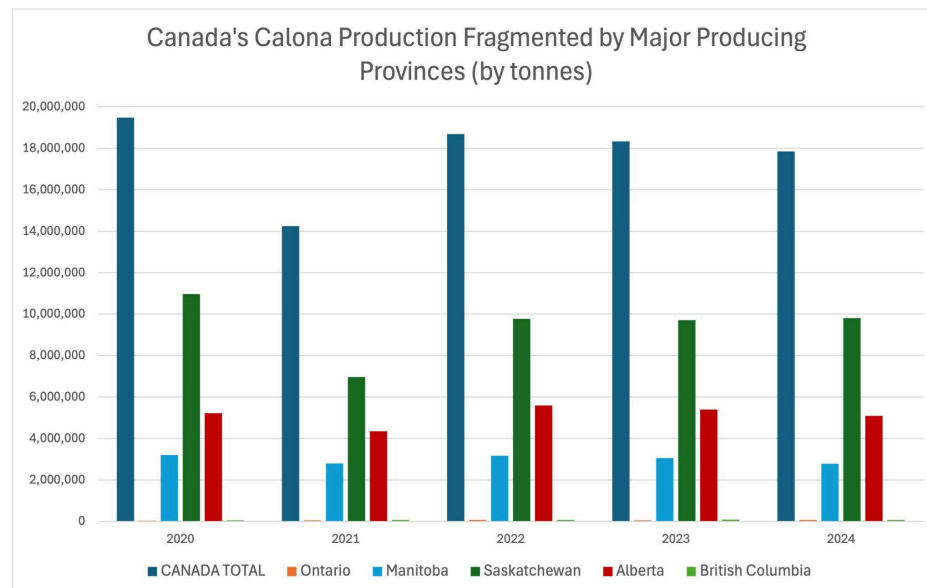
Link: [Reference](#)

Summary:

China seeks to diverge from Canada's canola, used as animal feed, by reopening negotiations with Australia.

Key Takeaways:

- Canada is the world's largest producer of canola, which is mainly grown in the Prairie Provinces (Saskatchewan, Alberta, and Manitoba). China accuses Canada of **dumping**⁷ canola and affecting its local producers.
- International Canola futures dropped as Chinese demand decreased. On the other hand, Chinese domestic canola futures increased as a result of an expected shortage. China wants to restore Australian canola imports, and it initiated talks with Canberra. Previously, China prohibited Australian canola imports, because they were accused of non-compliance with Chinese sanitary regulations.



Canola Council of Canada, *Production Statistics*, [link](#) (accessed August 2025).

⁷ Dumping: Exporting goods at a lower price than the market price by relying on government subsidies.



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- Canadian and Australian calona show how **comparative advantage**⁸ allocates production in the international sphere. Both countries have large areas of arable land and a suitable cold climate to produce this type of crop. However, we have seen, during the last couple of years, a regionalization trend, as geopolitics come into play. This regional world order seeks to balance comparative advantage and geopolitical strategy. Countries are trying to diversify their supply chains closer to home and moving away from overly dependent commercial ties.

Educational Angle:

Students should take notice of how international relations can catalyze trade realignment to avoid relying heavily on a single commercial partner. In this case, China seems to protect their food security, and avoid overly depending on Canada for this critical crop. They are searching for a regional supplier that seems more reliable under international commercial instability.

⁸ Comparative advantage: the ability of a country to produce a good at a lower opportunity cost than another country.



Article 3: Startup Valuations Blast Beyond Historic IPO Market Caps

Author, Source & Date Published: Yuliya Chernova, WSJ, August 20, 2025

Link: [Reference](#)

Summary:

Private technology valuations have increased to historic levels, surpassing the dot com bubble in the 2000s.

Key Takeaways:

- Technology companies are being privately valued on skyrocketing levels, like OpenAI which is privately valued around 500 billion, SpaceX at \$400 billion and Anthropic at \$170 billion. Analysts question whether these valuations could be sustained if the companies go public, especially since only a handful of IPOs in history have ever reached \$100 billion on their first trading day.
- These valuations are held privately which means that the company is not listed on a stock exchange. The private offering of stocks works very differently from a public company, whose shares are traded daily. Firstly, the company creates primary issues and contacts investors via venture capital firms, private equity, sovereign wealth funds, or large institutional investors. They simply set a price and quantity of stock that is traded. Secondly, these investors can later sell their shares to other investors mainly through investment banks.
- Investing in private companies is considered more risky because these companies provide limited financial data on its operations and selling your shares could be more difficult (there is not an easy-to-access public market where you can trade your shares). However, if you invest in the next NVIDIA or Meta, your investment return could outweigh these risks.

Educational Angle:

Students need to understand that there is a competition factor that needs to be considered in these very high valuations. AI and technology stocks could price in a winner-take-most outcome, which fuels valuation bubbles. Investors are willing to pay a premium because they believe the company will dominate the market, though that is not necessarily the case.
